BYBLOS BANK SYRIA SA

Chairman's Report to the Board of Directors Based on the unaudited Financial Statements For the year 2019

KEY FINANCIAL HIGHLIGHTS & RATIOS

	Dec-17	Dec-18	Nov-19	Dec-19	Budget Dec-2019
A. HIGHLIGHTS (USD Thousands)					
Total Assets	154,997	188,221	208,712	211,292	199,752
Net Customer Advances	34,988	56,217	75,155	77,261	70,608
Customer Deposits	98,631	129,414	135,997	139,055	141,436
Cash & Central Bank	52,366	57,505	65,658	61,583	63,580
Due from banks	33,471	34,558	18,472	28,113	26,223
Due from head office	29,394	34,475	43,293	37,701	33,204
Fixed assets	2,903	2,950	3,823	3,789	3,995
Financial Instruments	907	896	915	922	935
Foreign Governmental Securities	0	0	0	0	*0*
Bonds & Fixed Income Securities	0	0	0	0	*0*
Equities	907	896	915	922	*935*
Net Income	2,212	2,833	4,463	4,698	7,353
operational income	3,587	4,472	9,998	11,516	7,043
Operating expenses	5,155	4,606	4,923	5,639	1,033
Letters of credit	0	0	0	0	N/A
Letters of guarantees	58,392	60,126	39,864	39,277	N/A
Number of employees	203	217	224	229	220
of which expatriates	3	2	2	2	3
Number of branches	10	10	10	10	8
B. PROFITABILITY					
ROA (Return On Average Assets)	1.33%	1.63%	2.44%	2.35%	0.67%
ROE (Return On Average Equity)	**4.59%**	**5.53%**	**8.65%**	**8.32%**	**2.42%**
SYP Interest On Average Earning Assets	7.59%	6.17%	6.89%	6.89%	5.35%
Average Return on SYP Customers' Loans	11.13%	10.10%	10.13%	10.09%	7.87%
SYP Average Funding Cost	5.57%	5.02%	3.45%	3.43%	3.78%
Average Cost of SYP Customers' Deposits	5.82%	5.10%	3.48%	3.46%	3.82%
SYP Net Interest Spread	**2.02%**	**1.15%**	**3.44%**	**3.46%**	**1.57%**
FCY Interest On Average Earning Assets	0.47%	1.39%	1.61%	1.61%	1.58%
Average Return on FCY Customers' Loans	0.83%	0.06%	0.07%	0.06%	0.00%
FCY Average Funding Cost	0.19%	0.05%	0.04%	0.04%	0.00%
Average Cost of FCY Customers' Deposits	0.19%	0.06%	0.04%	0.04%	0.01%
FCY Net Interest Spread	***0.28%***	***1.34%***	***1.57%***	***1.58%***	***1.57%***
Net Interest Spread	**-0.54%**	**-0.14%**	**1.80%**	**1.82%**	**0.47%**
Net Interest Margin	**1.46%**	**1.57%**	**2.94%**	**2.94%**	**2.87%**
Operating Expenses To Operational Income (Cost-To-Incom	**143.70%**	**103.00%**	**49.24%**	**48.97%**	**81.46%**
Operating Expenses / Average Assets	3.09%	2.65%	2.7%	2.8%	2.56%
Operating Expenses To average Customer Deposits	5.70%	3.94%	4.02%	4.21%	3.66%
Net Interest Inc. / Total Operational Inc.	**87.83%**	**86.15%**	**68.87%**	**65.24%**	**88.80%**
Net Commission Inc. / Total Operational Inc.	10.22%	12.25%	22.15%	26.99%	10.52%
Net Financial Operations Inc. / Total Operational Inc.**	0.69%	1.14%	8.13%	7.03%	0.68%
C. LIQUIDITY					
Liquid Assets Ratio	74.34%	67.23%	61.05%	60.92%	61.58%
FCY offshore liquidity / FCY deposits	**142.54%**	**134.61%**	**95.30%**	**121.06%**	**N/A**
Current Customer Deposits to Customer Deposits	**54.83%**	**60.65%**	**54.05%**	**53.55%**	**54.05%**
SYP Current Customer Deposits to SYP Customer Deposits	45.23%	56.50%	50.52%	50.53%	50.52%
FCY Current Customer Deposits to FCY Customer Deposits	94.01%	86.27%	75.92%	71.70%	75.92%
Net Loans to Customer deposits	**35.47%**	**43.44%**	**55.26%**	**54.33%**	**49.92%**
Gross Loans to Customer deposits	**75.83%**	**75.22%**	**83.81%**	**82.88%**	**81.09%**
SYP Net Loans To SYP Customer Deposits	**45.37%**	**51.47%**	**64.13%**	**63.50%**	**57.72%**
SYP Gross Loans To SYP Customer Deposits	**76.43%**	**73.20%**	**84.44%**	**83.81%**	**78.74%**
SYP Net Loans To SYP Assets	**49.50%**	**53.31%**	**61.01%**	**61.83%**	**59.65%**
SYP Placements with Central Bank to SYP Customers' Depos	34.74%	29.02%	27.17%	23.22%	27.68%
SYP Placements with Banks to SYP Customers' Deposits	1.89%	6.54%	0.30%	3.78%	0.91%
FCY Net Loans To FCY Deposits	**-4.91%**	**-6.08%**	**0.37%**	**-0.90%**	**-6.33%**
FCY Gross Loans To FCY Deposits	**73.37%**	**87.63%**	**79.90%**	**77.32%**	**98.06%**
FCY Loans To FCY Assets	**-1.16%**	**-1.36%**	**0.08%**	**-0.21%**	**-1.37%**
FCY Placements with Central Bank to FCY Customers' Depos	72.57%	82.73%	107.70%	104.45%	97.07%
FCY T-Bills to FCY Customers' Deposits	0.00%	0.00%	0.00%	0.00%	0.00%
FCY Placements with Banks to FCY Customers' Deposits	164.65%	150.93%	95.80%	119.26%	145.77%
Customer Deposits To Total Deposits	98.00%	98.81%	97.61%	98.82%	98.74%
Interbank Assets To Interbank Liabilities (x)	51.80	74.49	34.22	68.50	61.24
D. ASSET QUALITY					
Non-Performing Loans / Gross loans	44.3%	38.9%	35.6%	35.8%	33.2%
Coverage Ratio	122.4%	111.5%	100.0%	96.9%	118.5%
E. CURRENCY STRUCTURE					
SYP Customers' Deposits to Customers' Deposits	80.31%	86.04%	86.09%	85.77%	87.83%
Gross SYP Customers' Loans to Gross Customers' Loans	80.95%	83.74%	86.74%	87.67%	85.28%
FCY cash hedging of Capital	37.30%	37.30%	37.30%	37.30%	N/A
FCY fixed assets hedging of Capital	25.00%	25.00%	25.00%	25.00%	N/A
F. CONCENTRATION RISK					
Top 10 largest Customers' Deposits to Customers' Deposits	22.3%	28.0%	29.3%	29.7%	N/A
Top 10 largest Customers' Loans to Gross Customers' Loan	45.8%	48.8%	52.9%	51.2%	N/A
Largest 10 int. & com. income generator to total Int. & com	36.4%	39.0%	50.6%	50.6%	N/A
Exchange rate SYP/USD	**436.00**	**436.00**	**436.00**	**436.00**	

EXECUTIVE SUMMARY

During 2019, Byblos Bank Syria recorded a Net Income of SYP 2,048.5 million (USD 4.7 million) compared to SYP 1,235.1 million (USD 2.8 million) last year, recording an increase of 65.9% (+SYP 813.4 million/+USD 1,865.6 thousands)

In fact, Byblos Bank Syria recorded a Net Operating Income before taxes (excluding the Reserved Interest Reversed) of SYP 2,380.3 million (USD 5.5 million) during 2019 compared to a Net Operating Loss of SYP 124.3 million (-USD 0.3 million) during 2018.

The Operating Income growth was explained by:

Net interest income (excluding the reserved interest reversed) increased by 92.5% (+SYP 1,480.1 million/+USD 3.4 million) resulting from:

- The increase in the average SYP Performing Loans by 38.6% (+SYP 8.1 billion /USD 18.7 million) at an average rate of 12.5% resulted in an increase in interest received on loans by 30.9% (+SYP 944.3 million/+USD 2.2 million).
- The decrease in monthly interest expenses due to the lower interest rates offered on SYP deposits which recorded a decrease of 165 basis points to reach 3.46% as at end Dec-19 compared to 5.10% in the same period of last year resulted in a drop in interest paid on customers deposits by 20.7% (-SYP 451.0 million/-USD 1 million).
- The increase in interest income received from HO by 22.2% (+SYP 160.1 million/USD 367 thousands) mainly due to the Long Term placement with Byblos bank Lebanon (USD 12 million at 6%).
- The investment in CDs with the CBOS for SYP 1.6 billion at 4.5% which generated an interest income of SYP 61.7 million (USD 142 thousands) during 2019.
- The USD 1 million placement with the central bank of Syria at 4.26% generates interest of SYP 9.7 million (USD 22 thousands).

Non-interest income increased by 521.5% (+SYP 1,473.9 million/USD 3.4 million) since the bank is receiving commission on selling foreign currencies for banks and other clients for the financing of documentary collections which amounted to SYP 795.3 million (USD 1.8 million) ,in addition to the commission on performance bonds received from the Syrian Public Establishment of Electricity which amounted to SYP 273.8 million (USD 628.1 Thousand).

(SYP 000's)	Dec-18	Dec-19
Net Interest Income	1,601,520	3,082,183
Reversed reserved interest	78,264	193,316
Net Commissions	238,952	1,355,181
Net FX Income/Financial	34,718	363,982
Net Other Income	8,957	37,340
Total Operating Income	**1,884,147**	**4,838,686**
Salaries & employees benefits	1,173,728	1,516,728
Other operating expenses	731,116	698,516
Depreciations	103,587	243,420
Total Operating Expenses	**(2,008,431)**	**(2,458,664)**
Net Operating Income Before Taxes	**(124,284)**	**2,380,022**

The above was partially offset by the increase in **operating expenses** mainly staff related, by 22.4% (+SYP 450.2 million/USD 1 million) to reach SYP 2,458.7 million/USD 5.6 million.

Other non-operating and non-recurring items affecting Byblos Syria during 2019 versus 2018:

Positive effect:	*Dec-18*	*Dec-19*	*Effect*
Recoveries of Specific Provisions	SYP 110M	SYP 1,314 M	+SYP1,204M
General provisions (recoveries) for loan losses	SYP 1,738M	SYP 2,445M	+SYP 708M

Total = +SYP 1,912.1M (USD 4.4 M)

Negative effect:	*Dec-18*	*Dec-19*	*Effect*
Specific Provisions	SYP 739M	SYP 1,043M	-SYP 305 M
Provision risk & charges	SYP -4M	SYP 50 M	SYP 54 M
Banks and CBOS ECL provisions		SYP 2,393M	SYP 2,393M

Total = -SYP 2,751M (USD 6.3 M)

NET = -SYP 839M (USD 1.9M)

In fact, during 2019, Byblos bank Syria released SYP 1.3 billion (USD 3 million) of specific provision mainly due to the collection from 3 doubtful clients (Salb Steel, Youssef Asswad,Imad Kseibi & Hanin El Hajj Hussein) which had a total outstanding balance of C/V SYP 1.7 billion (fully provided for), the bank reversed SYP 113.7 million of reserved interest and wrote off C/V SYP 338 million.

Net Interest spread [(a)] in all currencies increased to reach 1.82% as at end Dec-19 compared to -0.14% in Dec-18.

- Net SYP interest spread [(a)] grew by 231 basis points to reach 3.46% as at end Dec-19.
- Net FCY interest spread [(a)] increased by 23 basis points during the same period to reach 1.58%.

Net interest margin [(b)] increased to reach 2.94% in Dec-19 compared to 1.57% in the same period of last year.
ROA and ROE stood at 2.35% and 8.32% respectively in Dec-19, as compared to 1.63% and 5.53% respectively in Dec-18.

(a) Net Interest Spread = (interest Income / average Interest Earning Assets) – (Interest Expenses/Average Interest Bearing Liabilities)

(b) Net Interest Margin = Net Interest Income/Average Interest Earning Assets

GROWTH and RETURN:

See below table of asset and liabilities return and cost by currency:

INTEREST RATE DIFFERENTIAL IN SYP:

Yield on Interest Earning Asset

Increase in customers' loans

BBS LCY Actual Earning assets grew by 12% (+SYP 6.7 billion) between the 2 periods, showing an Average Earning assets growth of 19% (+SYP 9.3 billion) mainly concentrated in customers' loans yielding 12.93% coupled with an increase in net interest income in SYP by 161% (+SYP 1,460 million).

Investing in CDS

The bank invested beginning February 2019 in newly issued Central Bank certificates of deposits for SYP 1.6 billion at a discounted price of SYP 1.528 billion for a yield of 4.62% for one year maturity.

Accordingly, the yield on interest earning assets increased by 72 Basis point to reach 6.89% as at Dec 2019 compared to 6.17% in Dec 18.

Cost on Interest Bearing Liabilities

Decrease in Cost of funds

A significant decrease of 165 basis points in the cost of SYP customers' deposits to reach 3.46% during Dec-19 compared to 5.10% during Dec-18 was due to:

- The lower interest rates offered on LCY Term deposits, which recorded a decrease of 213 basis points to reach 7.71% during Dec-19 as compared to 9.84% during Dec-18.
- The change in deposit structure which led to a decrease in the average weight of SYP Term deposits out of SYP total deposits from 51.1% to 44.8% (in favor of current deposits).

As a result, Net *SYP interest spread* increased by 231basis points to reach 3.46%.
Net SYP interest margin increased by 219 basis points to reach 3.94% in Dec-19 compared to 1.75% in the same period of last year.

The increase in the year to date SYP interest spread will be shown in the table below:

	Dec-18				Dec-19				Growth	Dec-18	Dec-19
Interest Earning Assets (Lcy In SYP million)	**Average**	**Weight**	**Interest Income**	**Avg. Rate**	**Average**	**Weight**	**Interest Income**	**Avg. Rate**	**(Basis Points)**	**Actual Balance**	**Actual Balance**
Cash & Central Bank	18,381	37.3%			17,307	29.6%				16,163	14,584
Cds with central bank					1,319	2.3%	61.7	4.62%	462		1,584
Due from Banks	762	1.5%			547	0.9%				3,177	1,857
Customer Loans	30,084	61.1%	3,079.7	10.10%	39,368	67.2%	4,027.5	10.09%	-1	35,509	43,551
of which Performing loans	21,105	42.9%	3,001.5	14.03%	29,242	50.0%	3,834.1	12.93%	-109	25,883	31,783
of which Non performing loans	8,979	18.2%	78.3 *	0.86% *	10,126	17.3%	193.3 *	1.88% *	102	9,626	11,769
Total Interest Earning Assets	**49,227**	**100.0%**	**3,079.7**	**6.17%**	**58,541**	**97.7%**	**4,089.2**	**6.89%**	**72**	**54,850**	**61,576**

Interest Bearing Liabilities (Lcy in SYP million)	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Growth (Basis Points)**	**Actual Balance**	**Actual Balance**
Due to Banks	714	1.6%			422	0.8%				326	214
Customer Deposits	42,634	98.4%	2,175.2	5.10%	49,916	99.2%	1,724.6	3.46%	-165	48,218	51,728
Total Interest Bearing Liabilities	**43,348**	**100.0%**	**2,175.2**	**5.02%**	**50,338**	**100.0%**	**1,724.6**	**3.43%**	**-159**	**48,544**	**51,942**
Net SYP Spread			**904.5**	**1.15%**			**2,364.6**	**3.46%**	**231**	**6,306**	**9,634**
Net interest margin				**1.75%**				**3.94%**	**219**		

(*) Reversal of reserved interest

INTEREST RATE DIFFERENTIAL IN FCY:

Yield on Interest Earning Asset

BBS FCY Earning assets grew by 4.8% (+SYP 1.9 billion) showing an average growth of 4.6% (+ SYP 1.7 billion) coupled with an increase in FCY net interest income by 21.7% (+ SYP 115.8 million).mainly due to:

Increase in Due from Head-office

- The Average weight of Due from head office out of total earning assets increased from 34.4% to 41.5% at a yield of 3.5% this resulted in an increase in the average earning assets by 22 basis points.

  It is worth mentioning that the full year effect of the USD 12 million deposited with BBL at 6% in2019 was partially offset by the increase in Nostro accounts with BBL (Libor + 1.5% on USD and EUR).Consequently yield on due from head-office recorded a decrease of 5 basis points to reach 3.51% as compared to 3.60% last year.

Placement with Central Bank of Syria

The Time placement of USD 1 million placed with the central bank of Syria at 4.2% for one year maturity increased the yield on central bank by 15 basis points.

Accordingly, the yield on interest earning assets increased by 24 Basis point to reach 1.64% as at Dec-19 compared to 1.39% in Dec 18.

As a result, Net *FCY interest spread* increased by 26 basis points to reach 1.60**%** at end of Dec-19.
Net FCY interest margin increased by 25 basis points to reach 1.63% in Dec-19 compared to 1.38% in the same period of last year.

The increase in the year to date FCY interest spread will be shown in the table below:

	Dec-18				Dec-19				Growth	Dec-18	Dec-19
Interest Earning Assets (Fcy in SYP million)	**Average**	**Weight**	**Interest Income**	**Avg. Rate**	**Average**	**Weight**	**Interest Income**	**Avg. Rate**	**(Basis Points)**	**Actual Balance**	**Actual Balance**
Cash & Central Bank	5,327	14.0%			6,528	16.4%	9.7	0.15%	15	5,182	7,076
of which time placement with CB					235	0.6%	9.7	4.06%	406		436
Due from Banks	13,092	34.4%	55.8	0.42%	10,403	26.1%	51.5	0.49%	7	11,883	10,518
Due from Head Office	13,099	34.4%	478.4	3.60%	16,522	41.4%	588.0	3.51%	-9	14,955	16,523
Customer Loans	6,554	17.2%	4.1	0.06%	6,439	16.1%	3.9	0.06%	0	6,903	6,673
Total Interest Earning Assets	**38,072**	**100.0%**	**538.3**	**1.39%**	**39,892**	**100.0%**	**662.8**	**1.64%**	**24**	**38,922**	**40,789**
Interest Bearing Liabilities (Fcy in SYP million)	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Growth (Basis Points)**	**Actual Balance**	**Actual Balance**
Due to Banks	238	2.9%			317	3.7%				230	255
Customer Deposits	7,926	97.1%	4.4	0.06%	8,350	96.3%	3.4	0.04%	-1	7,987	8,828
Total Interest Bearing Liabilities	**8,164**	**100.0%**	**4.4**	**0.05%**	**8,668**	**100.0%**	**3.4**	**0.04%**	**-1**	**8,217**	**9,084**
Net Fcy Spread			**533.9**	**1.34%**			**659.4**	**1.60%**	**26**	**30,705**	**31,705**
Net interest margin				**1.38%**				**1.63%**	**25**		

- **Net commissions income** increased by 467.1% (+SYP 1,116.3 million/USD 2.6 million) to reach SYP 1,355.2 million (USD 3.1 million) as at end Dec-19. This increase in commission was mainly due to:

  - The increase in commissions received from banking services by 847.9% (+SYP 814.4 million/USD 1,868 thousand) mainly due to the commission received on selling foreign currencies to clients for DC financing which amounted to SYP 795.3 million (USD 1.8 million) in Dec-2019 compared to SYP 0.2 million in the same period of last year .
  - The increase in commissions received from Letters of Guarantee by 182.2% (+SYP 274.5 million/USD 630 thousand) to reach SYP 452.2 million (USD 975 thousand) mainly due to the commission on performance bonds received from the Syrian Public Establishment of Electricity which amounted to SYP 273.8 million (USD 628.1 Thousand).
  - Commissions received on documentary collection recorded SYP 35.9 million (USD 82 thousand) during 2019 against SYP 1.3 million during 2018.

- **Salaries & employee benefits** increased by 29.2% (+SYP 343 million/+USD 786.7 thousand) to reach SYP 1,516.7 million (USD 3.5 million) in Dec-19 mainly due to the 25% merit given to employees in addition to the overlapping between the expatriates.

- **Other operating expenses** decreased by 4.5% (-SYP 32.6 million/-USD 74.8 K) to reach SYP 698.5 million (USD 1.6 million). In fact, due to the implementation of IFRS 16 an amount of SYP (SYP 94 million/USD 216 k) in rental expenses was reclassified and booked under amortization for leased assets. However, if the IFRS 16 effect was isolated Other Operating expenses will record an increase of 8% (SYP 61.9 million/USD 141 k).

  The main variances in general expenses can be detailed as follows:

  - An amount of SYP 45 million of LG stamps paid to the central bank of Syria was reclassified and recorded as operating expenses based on EY request.

  - Lawyer fees increased by 296% (+SYP 34.9 million/USD 80 thousand) to reach SYP 46.6 million/USD 106.9 thousand mainly due to the lawyer fees paid for the collection of bad debts related to Salb Steel.

  - Generators and fuel expenses increased by 170% (+SYP 21.8 million) to reach SYP 34.6 million mainly due to the increase in fuel price in addition to the increase in rationing during winter season.

  The above was partially offset by

  - Professional fees decreased by 96.8% (-SYP 15.2 million/USD 34.8 thousand) to reach SYP 512.9 thousand in 2019 compared to SYP 15.7 million in 2018.This decrease was mainly due to the amount of SYP 16.5 million paid to “Ernst & Young” for IT audit mission which was requested by the Central Bank of Syria during 2018.

  - Premises maintenance decreased by 30% (-SYP 11.9 million/USD 27.4 thousand) to reach SYP 27.8 million (USD 63.8 thousand) during 2019 since a new contract was negotiated as of February 2019 where the annual fees dropped from c/v USD 76 thousand to USD 45 thousand.

  - Fees and taxes decreased by 75% (-SYP 9.3 million/USD22 thousand) to reach SYP 3.1 million(USD 7.2 thousand) in 2019 due to the USD 18,540 tax paid on non-resident salaries during 2018.

Cost to income ratio decreased from 103% in 2018 to 48.97% in the same period of 2019. This was due to the increase of operating income and not the decrease in operating cost.

LOAN QUALITY:

In SYP Million	Dec-18	Dec-19	Growth (Dec-19/Dec-18) Vol.	%
Non Performing Loans (Stage 3) (Classes 4,5,6)	16,529	17,965	1,436	8.7%
TOTAL CLASSIFIED LOANS (CLASSES 4, 5 & 6)	**16,529**	**17,965**	**1,436**	**8.7%**
Specific Provisions for Non-Performing Customers' Loans (ECL Stage 3)	7,239	6,544	-695	-9.6%
Reserved Interest on Non-Performing customers' Loans (ECL stage 3)	8,963	10,749	1,786	19.9%
Collective Provisions on performing customers' loans (ECL Stage 1,2)	2,221	118	-2,103	-94.7%
TOTAL PROVISIONS	**18,422**	**17,410**	**-1,012**	**-5.5%**
Non-Performing Loans/ Total Loans	***38.9%***	***35.8%***		
Coverage Ratio (a)	***98.0%***	***96.3%***		
Coverage Ratio (b)	***111.5%***	***96.9%***		

(a) Reserved Interest + Specific Provisions / NPLs

(b) Total Provisions / Total Perforfming Loans

Total classified loans increased by 8.7% (+SYP 1,436 million/+USD 1.8 million) mainly due to the downgrading of "Sharikat Syral" to Stage 3 which had an exposure of SYP 656.6 million (USD 1.5 million) with an ECL of SYP 125 million, in addition to the downgrading of "SHARIKET ALTOUN WA SHORAKAH" which had an exposure of SYP 443.3 million with an ECL of SYP 337.2million.

The Above was partially offset by the collection of SYP 1.3 billion of Bad debts during 2019, The main collection was detailed as follows:

- The collection of SYP 780.6 million from the doubtful client "Salb Steel" which had an outstanding balance of USD 2.2 million (fully provided for). The bank wrote-off the remaining balance of USD 0.5 million;
- The collection of SYP 443 million from the doubtful client "Youssef Asswad" which had an outstanding balance of SYP 468.9 million (fully provided for);
- The collection of SYP 135 million from the doubtful client "Imad Kseibi & Hanin El Hajj Hussein" which had an outstanding balance of SYP 252.6 million (fully provided for). The bank wrote off the remaining balance for SYP 120 million;

It is worth mentioning that the excess of general provision which amounted to SYP 2 billion was transferred to provision for Banks and Central banks and was excluded from the coverage ratio (b) calculation. It is worth noting that during 2019, an ECL of SYP 1 billion was booked on LG - ADVANCE PAYMENT BOND with KOREA EXCHANGE BANK.

Coverage ratio (b) reached 96.9% as at end Dec-2019 compared to 111.5% at the end of Dec-2018.

BREAKDOWN OF LOAN PORTFOLIO BY INDUSTRY, LINE OF BUSINESS

Gross Performing Loans (000's SYP)	Dec/18	% of total	Dec/19	% of total	Growth Dec19-Dec 18	
Agriculture	1,485,635	5.73%	1,907,104	5.91%	421,469	28.4%
Industry	10,031,967	38.72%	13,817,680	42.80%	3,785,713	37.7%
Construction	508,354	1.96%	358,275	1.11%	-150,078	-29.5%
Trade (Wholesale & Retail)	10,720,576	41.37%	11,095,900	34.37%	375,324	3.5%
Services	1,992,659	7.69%	3,603,507	11.16%	1,610,848	80.8%
Others	12	0.00%	7,925	0.02%	7,913	64219.9%
Retail	**1,171,801**	**4.52%**	**1,493,693**	**4.63%**	**321,892**	**27.5%**
Personal Loans	99,073	0.38%	114,043	0.35%	14,969	15.1%
Housing Loans	1,045,147	4.03%	1,356,179	4.20%	311,032	29.8%
Credit Cards	5,627	0.02%	5,983	0.02%	356	6.3%
Total	**25,911,004**	**100.00%**	**32,284,085**	**100.00%**	**6,373,080**	**24.60%**

Gross performing loans increased by 24.6% (+SYP 6.4billion/USD 14.6million) to reach SYP 32.3 billion (USD 74 million) at the end of Dec-19 mainly from loans granted to the Industry sector which witnessed a growth of 37.7% (+SYP 3.8 billion) and represented 42.8% of total gross loans.This increase was mainly due to the new loan granted to "Mr. Kerdi Muhammad" (Manufacturing Pharmaceutical Products) which amounted to SYP 2.5 billion (USD 5.7 million) at 11%.Moreover, services sector witnessed a growth of 80.8% (+SYP 1.6billiion) and represented 11.2% of total gross loans mainly due to the new loan granted to "MTN SYRIA" (Telecommunication services) which amounted to SYP 1.2 billion (USD 2.8 milion) at 10.5%. Moreover,the agriculture sector witnessed a growth of 28.4% (+SYP 421.5 million/+USD 966 K).

Gross Performing retail loans increased by 27.5% (+SYP 321.9 million) to reach SYP 1,493.7 million at the end of Dec-19 and represented 4.6% of total gross performing loans. The main increase witnessed was in housing loans which grew by 29.8% (+SYP 311 million).

LIQUIDITY

% of Assets	Dec-18	Dec-19
Cash	5.4%	6.3%
Due from Central Bank	25.1%	22.9%
Treasury Bills, Bonds & investments with fixed income	0.0%	0.0%
Due from Banks	**18.4%**	**13.3%**
Due from Head Office	18.3%	17.8%
Total Liquid Assets	**67.23%**	**60.29%**
Net Loans	29.9%	36.6%

The bank is highly liquid where liquid assets represented 60.3% of total assets at the end of Dec-19 compared to 67.23% at the end of Dec-18.

	Dec-18	Dec-19
SYP Net Loans / SYP Customer Deposits	51%	65%
SYP Net Placements with Banks / SYP Customer Deposits*	36%	27%
FCY Net Loans / FCY Customer Deposits	-6%	-1%
FCY Net Placements with Banks / FCY Customer Deposits*	424%	401%

**Net Placements with Banks includes Central Bank, Banks, and Head Office*

Net SYP loans to SYP customers' deposits reached 65% at the end of Dec-19 compared to 51% at the end of Dec-18.

It is worth mentioning that the Central Bank of Syria cancelled CMC 52 on 22/11/2018, which sets tight criteria, and controls on the lending of Retail and Commercial clients.
Moreover, as per regulatory requirements, the bank is required to maintain 20% of SYP funding sources and 30% of all currency funding sources in immediate liquidity where these ratios reached 30.7% and 78.7% respectively at the end of Dec-19.
Furthermore, CMC issued decree 185 on 09.12.2018 allowing bank to invest in CDs issued by CBOS in LCY. The first issue of CDs was raised on 04.02.2019 where BBS subscribed by SYP 1.6 billion at a discounted price of SYP 1.528 billion at an interest rate of 4.5% (effective rate is 4.71%) with value date 21.02.2019 and one year maturity.

APPENDIX 1: BALANCE SHEET

Balance Sheet by Currency (Local Currency)

Byblos Bank Syria									
ASSETS (LCY)					**Growth Dec-19 / Dec-18**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-17**	**Dec-18**	**Nov-19**	**Dec-19**	**Vol.**	**%**	**Dec-19**	**Vol.**	**%**
Cash	1,326,977	2,292,686	4,231,970	4,202,769	1,910,082	83.3%	3,048,928	1,153,840	37.8%
Central Banks	11,997,617	14,086,884	13,867,482	12,073,644	(2,013,240)	-14.3%	14,992,701	(2,919,057)	-19.5%
- Current accounts	*10,000,681*	*11,538,948*	*9,546,011*	*7,745,969*	(3,792,979)	-32.9%	*14,779,061*	(7,033,092)	-47.6%
- Time placements					0	0.0%	*0*	0	0.0%
- Obligatory Reserves (5%) and Statutory Blocked Funds	*1,996,936*	*2,547,936*	*2,737,936*	*2,737,936*	190,000	7.5%	*213,640*	2,524,296	1181.6%
- Certificates of Deposit	*0*	*0*	*1,583,535*	*1,589,739*	1,589,739	0.0%	*0*	1,589,739	0.0%
Fixed Income Securities	0	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	395,989	390,569	399,078	401,786	11,217	2.9%	407,656	(5,870)	-1.4%
Due from Banks	653,943	3,177,280	153,748	1,964,805	(1,212,475)	-38.2%	490,800	1,474,005	300.3%
Placements with H.O., Sister & subsidiaries	0	0	0	0	0	0.0%	0	0	0.0%
Customer Loans (Net)	15,670,638	24,989,422	32,737,073	34,238,934	9,249,512	37.0%	31,259,921	2,979,013	9.5%
Gross Loans (Total)	*26,395,301*	*35,537,140*	*43,103,632*	*44,052,990*	8,515,850	24.0%	*42,643,420*	*1,409,570*	*3.3%*
- Gross Commercial Loans	*17,215,719*	*24,739,194*	*30,545,453*	*30,790,370*	6,051,176	24.5%	*30,940,104*	*(149,733)*	*-0.5%*
- Gross Retail Loans	*950,963*	*1,171,801*	*1,432,285*	*1,493,693*	321,892	27.5%	*2,444,348*	*(950,655)*	*-38.9%*
- Gross Doubtful Loans	*8,228,619*	*9,626,145*	*11,125,894*	*11,768,926*	2,142,781	22.3%	*9,258,968*	*2,509,958*	*27.1%*
- Accrued Interest &Interest received in advance	*324,803*	*492,831*	*791,654*	*845,920*	353,089	71.6%	*480,000*	*365,920*	*76.2%*
- Less: Reserved Interest	*(4,459,496)*	*(5,641,261)*	*(6,653,361)*	*(6,778,693)*	(1,137,432)	20.2%	*(5,965,011)*	*(813,682)*	*13.6%*
- Less: Specific Provisions	*(3,437,998)*	*(3,680,697)*	*(3,970,794)*	*(3,763,660)*	(82,963)	2.3%	*(2,998,488)*	*(765,172)*	*25.5%*
- Less: General & Collective Provisions	*(3,151,972)*	*(1,718,590)*	*(534,058)*	*(117,623)*	1,600,967	-93.2%	*(2,900,000)*	*2,782,377*	*-95.9%*
Acceptance	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	1,265,491	1,285,992	1,666,778	1,651,882	365,890	28.5%	1,742,019	(90,137)	-5.2%
Other Assets	348,196	648,580	601,809	837,888	189,308	29.2%	465,773	372,115	79.9%
Total Assets	**31,658,850**	**46,871,414**	**53,657,937**	**55,371,708**	**8,500,294**	**18.1%**	**52,407,798**	**2,963,910**	**5.7%**

LIABILITIES AND EQUITY (LCY)					**Growth Dec-19 / Dec-18**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-17**	**Dec-18**	**Nov-19**	**Dec-19**	**Vol.**	**%**	**Dec-19**	**Vol.**	**%**
Due to Banks & Financial Institutions	629,419	340,385	695,338	271,834	(68,551)	-20.1%	546,249	(274,415)	-50.2%
Due to H.O., Sister & Subsidiaries	0	0	0	0	0	0.0%	0	0	0.0%
Customer Deposits	34,536,590	48,546,964	51,048,148	51,997,527	3,450,563	7.1%	54,159,663	(2,162,136)	-4.0%
Acceptances	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	1,145,881	1,211,697	2,910,436	2,999,447	1,787,750	147.5%	1,218,592	1,780,854	146.1%
Provisions for Risk & Charges	26,935	57,848	194,857	1,927,272	1,869,425	3231.6%	30,871	1,896,401	6143.0%
Total Equity	22,339,783	23,574,516	25,520,538	25,623,065	2,048,549	8.7%	23,218,821	2,404,244	10.4%
Total Liabilities & Equity	**58,678,608**	**73,731,409**	**80,369,318**	**82,819,144**	**9,087,735**	**12.3%**	**79,174,197**	**3,644,947**	**4.6%**

Balance Sheet by Currency (Foreign Currency)

Byblos Bank Syria									
ASSETS (FCY)					**Growth Dec-19 / Dec-18**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-17**	**Dec-18**	**Nov-19**	**Dec-19**	**Vol.**	**%**	**Dec-19**	**Vol.**	**%**
Cash	3,362,828	2,175,596	1,646,274	1,559,505	(616,091)	-28.3%	2,392,688	(833,183)	-34.8%
Central Banks	6,143,952	6,516,896	8,881,379	9,014,487	2,497,591	38.3%	7,286,698	1,727,789	23.7%
- Current accounts	*2,159,398*	*2,536,443*	*4,515,338*	*4,644,606*	2,108,164	83.1%	*3,406,964*	1,237,642	36.3%
- Time placements			*436,000*	*436,000*	436,000	0.0%	*0*	436,000	0.0%
- Obligatory Reserves (5%) and Statutory Blocked Funds	*3,984,554*	*3,980,454*	*3,935,478*	*3,937,151*	(43,303)	-1.1%	*0*	3,937,151	0.0%
- Accrued Interest Receivable			*8,108*	*9,658*	9,658	0.0%	*3,510,650*	(3,500,992)	-99.7%
Governmental Securities	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Income Securities	0	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	0	0	0	0	0	0.0%	0	0	0.0%
Due from Banks	13,939,539	11,889,851	7,899,933	10,292,571	(1,597,279)	-13.4%	10,942,464	(649,892)	-5.9%
Placements with H.O., Sister & subsidiaries	12,815,981	15,031,265	18,875,687	16,437,773	1,406,508	9.4%	14,476,923	1,960,851	13.5%
Customer Loans (Net)	(415,814)	(478,867)	30,524	(77,453)	401,414	83.8%	(474,926)	397,474	-83.7%
Gross Loans (Total)	*6,211,802*	*6,902,765*	*6,589,086*	*6,672,545*	(230,220)	-3.3%	*7,360,815*	*(688,269)*	*-9.4%*
- Gross Commercial Loans	*27*	*9*	*6*	*21*	12	130.4%	*0*	*21*	*0.0%*
- Gross Retail Loans	*0*	*0*	*0*	*0*	0	0.0%	*0*	*0*	*0.0%*
- Gross Doubtful Loans	*6,211,774*	*6,902,756*	*6,589,080*	*6,672,524*	(230,232)	-3.3%	*7,360,815*	*(688,290)*	*-9.4%*
- Accrued Interest &Interest received in advance	*0*	*0*	*0*	*0*	0	0.0%	*0*	*0*	*0.0%*
- Less: Reserved Interest	*(2,610,289)*	*(3,321,387)*	*(3,897,451)*	*(3,970,047)*	(648,660)	19.5%	*(3,784,684)*	*(185,362)*	*4.9%*
- Less: Specific Provisions	*(3,215,887)*	*(3,557,838)*	*(2,661,110)*	*(2,779,951)*	777,886	-21.9%	*(3,556,057)*	*776,106*	*-21.8%*
- Less: General & Collective Provisions	*(801,439)*	*(502,407)*	*(0)*	*(0)*	502,407	-100.0%	*(495,000)*	*495,000*	*-100.0%*
Acceptance	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	0	0	0	0	0	0.0%	0	0	0.0%
Other Assets	73,576	58,167	6,885	0	(58,167)	-100.0%	60,053	(60,053)	-100.0%
Total Assets	**35,920,061**	**35,192,909**	**37,340,683**	**37,226,885**	**2,033,976**	**5.8%**	**34,683,899**	**2,542,986**	**7.3%**

LIABILITIES AND EQUITY (FCY)					**Growth Dec-19 / Dec-18**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-17**	**Dec-18**	**Nov-19**	**Dec-19**	**Vol.**	**%**	**Dec-19**	**Vol.**	**%**
Due to Banks & Financial Institutions	249,986	340,292	756,369	454,930	114,638	33.7%	240,681	214,249	89.0%
Due to H.O., Sister & Subsidiaries	0	0	0	0	0	0.0%	0	0	0.0%
Customer Deposits	8,466,310	7,877,580	8,246,560	8,630,246	752,666	9.6%	7,506,613	1,123,634	15.0%
Acceptances	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	170,263	101,875	121,557	130,296	28,421	27.9%	156,837	(26,541)	-16.9%
Provisions for Risk & Charges	13,745	13,166	1,504,815	88,480	75,314	572.0%	13,370	75,110	561.8%
Total Equity	0	0	0	0	0	0.0%	0	0	0.0%
Total Liabilities & Equity	**8,900,303**	**8,332,913**	**10,629,301**	**9,303,953**	**971,039**	**11.7%**	**7,917,501**	**1,386,452**	**17.5%**

Balance Sheet by Currency (Total C/v. SYP Thousands):

Byblos Bank Syria									
ASSETS					**Growth Dec-19/ Dec-18**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-17**	**Dec-18**	**Nov-19**	**Dec-19**	**Vol.**	**%**	**Dec-19**	**Vol.**	**%**
Cash	4,689,804	4,468,283	5,878,244	5,762,274	1,293,991	29.0%	5,441,616	320,658	5.9%
Central Banks	18,141,569	20,603,780	22,748,861	21,088,132	484,351	2.4%	22,279,399	(1,191,268)	-5.3%
- Current accounts	*12,160,079*	*14,075,391*	*14,061,350*	*12,390,576*	(1,684,815)	-12.0%	*18,186,025*	(5,795,450)	-31.9%
- Time placements			*436,000*	*436,000*	436,000	0.0%	*0*	436,000	0.0%
- Obligatory Reserves (5%) and Statutory Blocked Funds	*5,981,489*	*6,528,389*	*6,673,413*	*6,675,087*	146,697	2.2%	*213,640*	6,461,447	3024.5%
- Certificates of Deposit	*0*	*0*	*1,583,535*	*1,589,739*	1,589,739	0.0%	*0*	1,589,739	0.0%
- Accrued Interest Receivable	*0*	*0*	*8,108*	*9,658*	9,658	0.0%	*3,510,650*	(3,500,992)	-99.7%
Governmental Securities	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Income Securities	0	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	395,594	390,569	399,078	401,786	11,217	2.9%	407,656	(5,870)	-1.4%
Due from Banks	14,593,482	15,067,131	8,053,681	12,257,377	(2,809,754)	-18.6%	11,433,264	824,113	7.2%
Placements with H.O., Sister & subsidiaries	12,815,981	15,031,265	18,875,687	16,437,773	1,406,508	9.4%	14,476,923	1,960,851	13.5%
Customer Loans (Net)	15,254,824	24,510,555	32,767,596	33,685,985	9,175,429	37.4%	30,784,994	2,900,991	9.4%
Gross Loans (Total)	*32,607,103*	*42,439,905*	*49,692,718*	*50,250,039*	7,810,133	18.4%	*50,004,234*	*245,805*	*0.5%*
- Gross Commercial Loans	*17,215,747*	*24,739,203*	*30,545,459*	*30,790,391*	6,051,188	24.5%	*30,940,104*	*(149,712)*	*-0.5%*
- Gross Retail Loans	*950,963*	*1,171,801*	*1,432,285*	*1,493,693*	321,892	27.5%	*2,444,348*	*(950,655)*	*-38.9%*
- Gross Doubtful Loans	*14,440,393*	*16,528,901*	*17,714,974*	*17,965,954*	1,437,053	8.7%	*16,619,783*	*1,346,172*	*8.1%*
- Accrued Interest &Interest received in advance	*324,803*	*492,831*	*791,654*	*845,920*	353,089	71.6%	*480,000*	*365,920*	*76.2%*
- Less: Reserved Interest	*(7,069,785)*	*(8,962,648)*	*(10,550,812)*	*(10,748,739)*	(1,786,091)	19.9%	*(9,749,695)*	*(999,044)*	*10.2%*
- Less: Specific Provisions	*(6,653,886)*	*(7,238,535)*	*(6,631,905)*	*(6,543,611)*	694,924	-9.6%	*(6,554,545)*	*10,934*	*-0.2%*
- Less: General & Collective Provisions	*(3,953,411)*	*(2,220,998)*	*(534,058)*	*(117,624)*	2,103,374	-94.7%	*(3,395,000)*	*3,277,376*	*-96.5%*
Acceptance	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	1,265,491	1,285,992	1,666,778	1,651,882	365,890	28.5%	1,742,019	(90,137)	-5.2%
Other Assets	421,771	706,747	608,694	837,888	131,141	18.6%	525,826	312,062	59.3%
Total Assets	**67,578,516**	**82,064,323**	**90,998,619**	**92,123,097**	**10,058,774**	**12.3%**	**87,091,697**	**5,031,399**	**5.8%**
						0.0%			
LIABILITIES AND EQUITY					**Growth Dec-19/ Dec-18**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-17**	**Dec-18**	**Nov-19**	**Dec-19**	**Vol.**	**%**	**Dec-19**	**Vol.**	**%**
Due to Banks & Financial Institutions	879,405	680,677	1,451,707	726,764	46,087	6.8%	786,930	(60,167)	-7.6%
Due to H.O., Sister & Subsidiaries	0	0	0	0	0	0.0%	0	0	0.0%
Customer Deposits	43,002,901	56,424,544	59,294,708	60,627,773	4,203,229	7.4%	61,666,276	(1,038,503)	-1.7%
Acceptances	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	1,316,144	1,313,572	3,031,993	3,129,743	1,816,171	138.3%	1,375,429	1,754,314	127.5%
Provisions for Risk & Charges	40,679	71,014	1,699,672	2,015,752	1,944,738	2738.5%	44,241	1,971,512	4456.3%
Total Equity	22,339,388	23,574,516	25,520,538	25,623,065	2,048,549	8.7%	23,218,821	2,404,244	10.4%
Total Liabilities & Equity	**67,578,517**	**82,064,323**	**90,998,619**	**92,123,097**	**10,058,774**	**12.3%**	**87,091,697**	**5,031,400**	**5.8%**

Balance Sheet (Total C/v. USD Thousands):

Byblos Bank Syria									
ASSETS					**Growth Dec-19/ Dec-18**		**Budget**	**Variance with Budget**	
In USD 000's	**Dec-17**	**Dec-18**	**Nov-19**	**Dec-19**	**Vol.**	**%**	**Dec-19**	**Vol.**	**%**
Cash	10,756	10,248	13,482	13,216	2,968	29.0%	12,481	735	5.9%
Central Banks	41,609	47,256	52,176	48,367	1,111	2.4%	51,100	(2,732)	-5.3%
- Current accounts	*27,890*	*32,283*	*32,251*	*28,419*	(3,864)	-12.0%	*41,711*	(13,292)	-31.9%
- Time placements	*0*	*0*	*1,000*	*1,000*	1,000	0.0%	*847*	153	18.1%
- Obligatory Reserves (5%) and Statutory Blocked Funds	*13,719*	*14,973*	*15,306*	*15,310*	336	2.2%	*490*	14,820	3024.5%
- Certificates of Deposit	*0*	*0*	*3,632*	*3,646*	3,646	0.0%	*0*	3,646	0.0%
Governmental Securities	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Income Securities	0	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	907	896	915	922	26	2.9%	935	(13)	-1.4%
Due from Banks	33,471	34,558	18,472	28,113	(6,444)	-18.6%	26,223	1,890	7.2%
Placements with H.O., Sister & subsidiaries	29,394	34,475	43,293	37,701	3,226	9.4%	33,204	4,497	13.5%
Customer Loans (Net)	34,988	56,217	75,155	77,261	21,045	37.4%	70,608	6,654	9.4%
Gross Loans (Total)	*74,787*	*97,339*	*113,974*	*115,252*	17,913	18.4%	*114,689*	*564*	*0.5%*
- Gross Commercial Loans	*39,486*	*56,741*	*70,058*	*70,620*	13,879	24.5%	*70,964*	*(343)*	*-0.5%*
- Gross Retail Loans	*2,181*	*2,688*	*3,285*	*3,426*	738	27.5%	*5,606*	*(2,180)*	*-38.9%*
- Gross Doubtful Loans	*33,120*	*37,910*	*40,631*	*41,206*	3,296	8.7%	*38,119*	*3,088*	*8.1%*
- Accrued Interest &Interest received in advance	*745*	*1,130*	*1,816*	*1,940*	810	71.6%	*1,101*	*839*	*76.2%*
- Less: Reserved Interest	*(16,215)*	*(20,557)*	*(24,199)*	*(24,653)*	(4,097)	19.9%	*(22,362)*	*(2,291)*	*10.2%*
- Less: Specific Provisions	*(15,261)*	*(16,602)*	*(15,211)*	*(15,008)*	1,594	-9.6%	*(15,033)*	*25*	*-0.2%*
- Less: General & Collective Provisions	*(9,067)*	*(5,094)*	*(1,225)*	*(270)*	4,824	-94.7%	*(7,787)*	*7,517*	*-96.5%*
Acceptance	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	2,903	2,950	3,823	3,789	839	28.5%	3,995	(207)	-5.2%
Other Assets	967	1,621	1,396	1,922	301	18.6%	1,206	716	59.3%
Total Assets	**154,997**	**188,221**	**208,712**	**211,292**	**23,071**	**12.3%**	**199,752**	**11,540**	**5.8%**

LIABILITIES AND EQUITY					**Growth Dec-19/ Dec-18**		**Budget**	**Vasiance with Budget**	
In USD 000's	**Dec-17**	**Dec-18**	**Nov-19**	**Dec-19**	**Vol.**	**%**	**Dec-19**	**Vol.**	**%**
Due to Banks & Financial Institutions	2,017	1,561	3,330	1,667	106	6.8%	1,805	(138)	-7.6%
Due to H.O., Sister & Subsidiaries	0	0	0	0	0	0.0%	0.0	0	0.0%
Customer Deposits	98,631	129,414	135,997	139,055	9,640	7.4%	141,436	(2,382)	-1.7%
Acceptances	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	3,019	3,013	6,954	7,178	4,166	138.3%	3,155	4,024	127.5%
Provisions for Risk & Charges	93	163	3,898	4,623	4,460	2738.5%	101	4,522	4456.3%
Total Equity	51,237	54,070	58,533	58,768	4,699	8.7%	53,254	5,514	10.4%
Total Liabilities & Equity	**154,997**	**188,221**	**208,712**	**211,292**	**23,071**	**12.3%**	**199,752**	**11,540**	**5.8%**
Exchange Rates	**436.00**	**436.00**	**436.00**	**436.00**					

APPENDIX 2: INCOME STATEMENT

Profit & Loss (in SYP Thousand):

INCOME AND EXPENSES					Growth Dec-19/Dec-18		Budget	Variance with Budget	
In SYP 000's	Dec-17	Dec-18	Nov-19	Dec-19	Vol.	%	Dec-19	Vol.	%
Interest Income	**3,139,180**	**3,859,421**	**4,592,559**	**5,034,197**	**1,174,776**	**30.4%**	**4,298,314**	**735,883**	**17.1%**
Placement with Central Bank of Syria	0	0	8,108	9,658	9,658	0.0%	0	9,658	**0.0%**
Certificates of Deposit with Central Bank of Syria	0	0	55,535	61,739	61,739	0.0%	0	61,739	0.0%
Deposits and similar accounts with banks & financial institutions	83,007	55,801	48,047	51,546	(4,255)	-7.6%	53,637	(2,091)	-3.9%
Deposits with HO, holding company,branches, affiliates	194,653	719,780	808,136	879,855	160,075	22.2%	772,546	107,309	13.9%
Bonds and similar financial instruments with fixed income	0	0	0	0	0	0.0%	0	0	0.0%
Loans & advances to customers	2,827,174	3,060,817	3,648,433	4,005,082	944,265	30.9%	3,440,842	564,240	16.4%
2 per mille - Highest debit commission	34,346	23,023	24,300	26,317	3,294	14.3%	31,289	(4,972)	-15.9%
Interest Paid	**1,765,436**	**2,179,637**	**1,590,699**	**1,758,698**	**(420,938)**	**-19.3%**	**1,941,741**	**(183,043)**	**-9.4%**
Deposits and similar accounts from banks & financial institutions	162,501	0	0	0	0	0.0%	0	0	0.0%
Deposits from HO, holding company,branches, affiliates	0	0	0	(0)	(0)	-181.8%	0	(0)	0.0%
Customer deposits & other creditor accounts	1,602,219	2,179,061	1,587,379	1,728,055	(451,006)	-20.7%	1,941,741	(213,686)	-11.0%
Other interest and similar charges	0	0	3,320	30,644	30,644	0.0%	0	30,644	0.0%
Net Interest Income Before Provisions	**1,373,744**	**1,679,784**	**3,001,860**	**3,275,499**	**1,595,715**	**95.0%**	**2,356,573**	**918,926**	**39.0%**
Specific Provisions for Doubtful loans	671,368	738,574	1,131,626	1,043,322	304,748	41.3%	0	1,043,322	0.0%
Recoveries of Provisions no More Required	752,409	109,783	1,314,270	1,314,270	1,204,487	1097.1%	230,687	1,083,583	469.7%
Net Provisions	**(81,040)**	**628,791**	**(182,644)**	**(270,948)**	**(899,739)**	**-143.1%**	**(230,687)**	**(40,261)**	**17.5%**
Net Interest Income After Provisions	**1,454,784**	**1,050,993**	**3,184,504**	**3,546,447**	**2,495,453**	**237.4%**	**2,587,260**	**959,186**	**37.1%**
Commissions Received	**204,254**	**248,024**	**984,495**	**1,374,613**	**1,126,590**	**454.2%**	**291,248**	**1,083,365**	**372.0%**
Documentary Credits	5,084	0	240	3,101	3,101	0.0%	0	3,101	0.0%
Acceptances	874	1,300	35,704	35,880	34,580	2659.3%	0	35,880	0.0%
Letters of Guarantee	111,232	150,682	409,392	425,220	274,538	182.2%	179,823	245,397	136.5%
Banking Services	87,064	96,042	539,159	910,412	814,370	847.9%	111,425	798,987	717.1%
Commissions Paid	**44,454**	**9,071**	**18,881**	**19,432**	**10,361**	**114.2%**	**12,074**	**7,358**	**60.9%**
Net commission Income	**159,800**	**238,952**	**965,614**	**1,355,181**	**1,116,229**	**467.1%**	**279,174**	**1,076,007**	**385.4%**
FX Income (Net)	**10,762**	**22,242**	**354,185**	**352,765**	**330,523**	**1486.0%**	**18,000**	**334,765**	**1859.8%**
Unrealized Structural FX Income (Loss)	**(4,982,561)**	**0**	**0**	**(1,500)**	**(1,500)**	**0.0%**	**0**	**(1,500)**	**0.0%**
Income from Financial Operations (Net)	**0**	**0**	**0**	**0**	**0**	**0.0%**	**0**	**0**	**0.0%**
Out of which Realized Gains	0	0	0	0	0	0.0%		0	0.0%
Net Other Operating Income (Expense)	**19,760**	**8,957**	**37,325**	**37,340**	**28,383**	**316.9%**	**0**	**37,340**	**0.0%**
Total Operating Income	**(3,337,455)**	**1,321,144**	**4,541,628**	**5,290,232**	**3,969,088**	**300.4%**	**2,884,434**	**2,405,798**	**83.4%**
				3,108.21					
EXPENSES									
Salaries & employees benefits	1,271,699	1,173,728	1,251,383	1,516,728	343,000	29.2%	1,312,510	204,218	15.6%
Other operating expenses	888,750	731,116	734,345	698,516	(32,600)	-4.5%	684,029	14,487	2.1%
Management Agreement	(0)	0	0	0	0	0.0%	0	0	0.0%
Depreciations	87,161	103,587	160,815	243,420	139,832	135.0%	165,264	78,156	47.3%
Total Operating Expenses	**2,247,609**	**2,008,431**	**2,146,542**	**2,458,664**	**450,233**	**22.4%**	**2,161,803**	**296,861**	**13.7%**
Net Income before taxes	**(5,585,064)**	**(687,287)**	**2,395,086**	**2,831,569**	**3,518,855**	**512.0%**	**722,631**	**2,108,938**	**291.8%**
Dividends from Subsidiaries & or Sister Co's	16,295	12,476	8,509	11,217	(1,259)	-10.1%	0	11,217	0.0%
Provisions for Risk & Charges	(6,873,184)	(3,800)	11,000	49,835	53,635	-1411.4%	0	49,835	0.0%
General and Collective Provisions	(205,610)	(1,737,646)	(745,173)	(2,445,272)	(707,626)	-40.7%	(20,223)	(2,425,049)	11991.5%
Banks and COS ECL provisons			574,078	2,392,658	2,392,658	0.0%		2,392,658	0.0%
Taxes	545,460	(168,493)	617,671	797,020	965,514	573.0%	175,602	621,419	353.9%
NET INCOME	**964,564**	**1,235,129**	**1,946,018**	**2,048,545**	**813,416**	**65.9%**	**567,252**	**1,481,292**	**261.1%**

Profit & Loss (C/v. USD Thousand):

INCOME AND EXPENSES					Growth Dec-19/Dec-18		Budget	Variance with Budget	
In USD 000's	Dec-17	Dec-18	Nov-19	Dec-19	Vol.	%	Dec-19	Vol.	%
Interest Income	**7,200**	**8,852**	**10,533**	**11,546**	**2,694**	**30.4%**	**2,694**	**8,852**	**328.5%**
Placement with Central Bank of Syria	0	0	19	22	22	0.0%	22	0	0.0%
Certificates of Deposit with central bank of Syria	0	0	127	142	142	0.0%	142	0	0.0%
Deposits and similar accounts with banks & financial institutions	190	128	110	118	(10)	-7.6%	(10)	128	-1311.5%
Deposits with HO, holding company,branches, affiliates	446	1,651	1,854	2,018	367	22.2%	367	1,651	449.7%
Bonds and similar financial instruments with fixed income	0	0	0	0	0	0.0%	0	0	0.0%
Loans & advances to customers	6,484	7,020	8,368	9,186	2,166	30.9%	2,166	7,020	324.1%
2 per mille - Highest debit commission	79	53	56	60	8	14.3%	8	53	699.0%
Interest Paid	**4,049**	**4,999**	**3,648**	**4,034**	**(965)**	**-19.3%**	**(965)**	**4,999**	**-517.8%**
Deposits and similar accounts from banks & financial institutions	373	0	0	0	0	0.0%	0	0	0.0%
Deposits from HO, holding company,branches, affiliates	0	0	0	(0)	(0)	-181.8%	(0)	0	-55.0%
Customer deposits & other creditor accounts	3,675	4,998	3,641	3,963	(1,034)	-20.7%	(1,034)	4,998	-483.2%
Related parties deposits	2	1	0	0	(1)	-100.0%	(1)	1	-100.0%
Net Interest Income Before Provisions	**3,151**	**3,852.7**	**6,885.0**	**7,512.6**	**3,659.9**	**95.0%**	**3,660**	**3,853**	**105.3%**
Specific Provisions for Doubtful loans	1,540	1,694	2,595	2,393	699	**41.3%**	699	**1,694**	**242.4%**
Recoveries of Provisions no More Required	1,726	252	3,014	3,014	2,763	**1097.1%**	2,763	**252**	**9.1%**
Net Provisions	**(186)**	**1,442**	**(419)**	**(621)**	**(2,064)**	-143.1%	(2,064)	1,442	-69.9%
Net Interest Income After Provisions	**3,337**	**2,411**	**7,304**	**8,134**	5,724	**237.4%**	**5,724**	**2,411**	**42.1%**
Commissions Received	**468**	**569**	**2,258**	**3,153**	**2,584**	**454.2%**	**2,584**	**569**	**22.0%**
Documentary Credits	12	0	1	7	7	0.0%	7	0	0.0%
Acceptances	2	3	82	82	79	2659.3%	79	3	3.8%
Letters of Guarantee	255	346	939	975	629.7	182.2%	630	346	54.9%
Banking Services	200	220	1,237	2,088	1,867.8	847.9%	1,868	220	11.8%
Commission Paid	102	21	43	45	24	114.2%	24	21	87.6%
Net commission Income	**367**	**548.1**	**2,214.7**	**3,108.2**	2,560.2	**467.1%**	**2,560**	**548**	**21.4%**
FX Income (Net)	**25**	**51**	**812**	**809**	758	**1486.0%**	**758**	**51**	**6.7%**
Unrealized Strucutral FX Income (Loss)	**(11,428)**	**0**	**0**	**(3)**	(3)	**0.0%**	**(3.4)**	**0**	**0.0%**
Income from Financial Operations (Net)	**0**	**0**	**0**	**0**	0	**0.0%**	**0**	**0**	**0.0%**
Net Other Operating Income (Expense)	**45**	**21**	**86**	**86**	65	**316.9%**	**65**	**21**	**31.6%**
Total Operating Income	**(7,655)**	**3,030**	**10,417**	**12,134**	9,103	**300.4%**	**9,103**	**3,030**	**33.3%**
EXPENSES									
Salaries & employees benefits	2,917	2,692	2,870	3,479	786.7	29.2%	787	2,692	342.2%
Other operating expenses	2,038	1,677	1,684	1,602	(74.8)	-4.5%	(75)	1,677	-2242.7%
Management Agreement	(0)	0	0	0	0	0.0%	0	0	0.0%
Depreciations	200	238	369	558	321	135.0%	321	238	74.1%
Total Operating Expenses	**5,155**	**4,606**	**4,923**	**5,639**	**1,032.6**	**22.4%**	**1,033**	**4,606**	**446.1%**
Net Income before taxes	**(12,810)**	**(1,576)**	**5,493**	**6,494**	**8,071**	**512.0%**	**8,071**	**(1,576)**	**-19.5%**
Dividends from Subsidiaries & or Sister Co's	37	29	20	26	(3)	-10.1%	(3)	29	-990.8%
Provisions for risk and charges	(15,764)	(9)	25	114	123	-1411.4%	123	(9)	-7.1%
General and Collective Provisions	(472)	(3,985)	(1,709)	(5,608)	(1,623)	40.7%	(1,623)	(3,985)	245.6%
Banks and COS ECL provisons	0	0	1,317	5,488	5,488	0.0%		5,488	0.0%
Collective provisions on Financial Instruments	0	0	0	0	0	0.0%		0	0.0%
Taxes	1,251	(386)	1,417	1,828	2,214	573%	2,214	(386)	-17.5%
NET INCOME	**2,212**	**2,833**	**4,463**	**4,698**	**1,865.6**	**66%**	**7,353**	**(2,655)**	**-36.1%**
Exchange Rates	**436.00**	**436.00**	**436.00**	**436.00**					